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Introduction

Background of Customer Banking Choices

Banking services play an important role in people's daily lives. With the growth of digital banking, it's changing the financial landscape of Bhutan a lot. Now, banking services are accessible across the country, in both traditional physical and modern digital forms. With six commercial banks in Bhutan, serving as the people's fund manager and giving access to a variety of money-related services, almost all people now prefer to keep their money safe at a bank rather than keep it at home physically, which shows the level of trust people have towards their banks.

However, not all people use and availing from the same bank, which sometimes shows customer preferences for different needs and caterings.

The number of loan takers and the loan amount are increasing. Increase in the number of banking apps and online services, atm services, and in-branch services, showing reach and coverage of banking services in Bhutan. Still, sometimes people complain about banking services, showing dissatisfaction in either service quality, accessibility, ease of use, or trustworthiness.

So, I decided to explore deeply the customer banking choices and factors affecting those choices, such as trust, service quality, accessibility, and ease of use, to discover the current customer challenges in these areas and find solutions to them.

Problem statement

Despite the growing importance of banking services in people's lives in Bhutan, customers continue to experience varying levels of satisfaction across banks. While banks in Bhutan provide vital services such as savings and deposits, loans, remittances, ATM services and digital services such as mobile banking and internet banking services, they may not always meet customer expectations in terms of trust, service quality, accessibility, and ease of use. These might seem like minor issues, but it brings huge effect on those customers who fully depend on banking services, from managing their funds to daily monetary transactions.

Therefore, I plan to explore the insights into how factors such as trust, service quality, accessibility, and ease of use affect customer banking choices, identify key issues and provide appropriate feedback or solutions.

Main motives

To understand customer banking choices and factors affecting those choices.

To identify customer issues with current banking services

To provide real solutions and suggestions to overcome those issues.

Questions

How is the customer banking choices pattern in Bhutan?

What are the most suggested areas for improvement in banking services?

Significance of the study

This study helps understand the current customer banking choices and how trust, service quality, accessibility, and ease of use affect the choices. Insights on these will be helpful for banks to identify areas for improvement and increase customer satisfaction in terms of trust, service quality, accessibility, and ease of use.

Literature review

Existing studies show that customer banking services are influenced by factors such as trust, service quality, accessibility, and ease of use. However, there is no strong evidence on what problems they are causing to banking customers and solutions to them

The study highlighted the significant influence of banking service experience and trust on satisfaction with the banking services (Hidayat, 2021). Highlighting the importance of trust on banking preferences. According to one of the studies, trust has a beneficial effect on customer satisfaction, and advises banks to improve customer satisfaction and loyalty by enhancing service quality and fostering trust (Dr. G. Nagamani, 2024). Moreover, a conceptual study highlighted the improvement in service performance and trust-building strategies for banking institutions as an insight, as per the result of the study, which uncovered a certain level of influence of customer satisfaction and perceived value in strengthening the link between service quality and trust. Its main focus was on service quality, such as reliability, responsiveness, assurance, and empathy, that; these factors are foundational to building customer trust in banking (Dr. K. Ramesh, 2025). These studies suggest the importance of building trust in banking services for customer loyalty and linking trust with service quality to strengthen customer satisfaction. However, there is no mention of how it is being perceived by the customer.

The news article on a banking conference discusses digital adoption and challenges for financial services in Bhutan, emphasizing digital transformation and improved transaction services (Wangda, 2025). Additionally, a study on financial inclusion in Bhutan had concluded with the note that the COVID-19 pandemic had increased the use of mobile and internet banking, and highlighted the advantage of focusing on mobile banking to improve economic growth and financial inclusion (Tsagay, 2022). From such implementations and usage, underbanked customers will benefit highly; however, the adoption of digital banking services doesn't show the solutions to all challenges, that is, despite the current banking reach in terms of mobile banking and internet banking, some customers find it difficult to access banking services in many ways, and it points to the need to explore on these issues. Such issues also relate to the accessibility and ease of use of banking services.

The research study conducted in Thimphu on Bhutanese Digital Banking also highlights the perceived security and digital trust, digital financial literacy, and perceived usefulness as significant drivers of mobile banking adoption. Additionally, it mentions that none of the respondents used the internet banking services among 408 valid respondents, when surveyed on

the adoption of digital platforms among Bank of Bhutan (BoB) customers, particularly in Thimphu, Bhutan (Yangchen, Wangchuk, Pelden, Yangden, & Yangdon, 2024). This shows that customers drive value from easy, secure digital services when they trust the underlying systems, and it triggers a change.

Overall, Banking services and digital platforms are well established in Bhutan; however, there still remains a variation in trust, perceived service quality, accessibility, and ease of use. Certain customer groups still face uncertainty or hesitation in fully engaging with banking services. So, this suggests an opportunity to explore these factors (trust, service quality, accessibility, and ease of use) of customer banking choices and better understand the current customer challenges with the banking services, especially across different user groups in different Dzongkhags in Bhutan.

Methodology

This work applied a mixed-method research design with quantitative and categorical data being used.

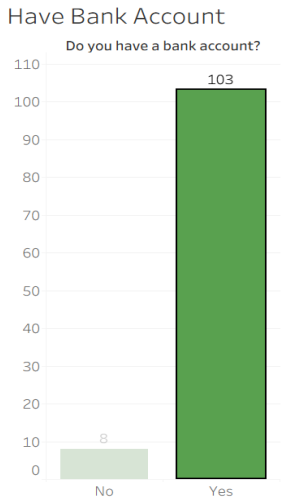
Here, the primary data source is utilized to explore insights into the current pattern of customer banking choices and factors affecting them. Applying the survey method for data collection, the data comes directly from the 111 respondents through a survey questionnaire form. The respondents to this survey questionnaire include people across Bhutan, collected mainly through social media connections, that is, through channels such as WhatsApp, Messenger, and LinkedIn.

Tools or software used throughout the work include Google Forms for questionnaire survey purposes, Google Sheets for data storage and cleaning, Public Tableau for data visualization and story writing, and a website, LinkedIn account, and GitHub repository for insight sharing.

Findings and Analysis

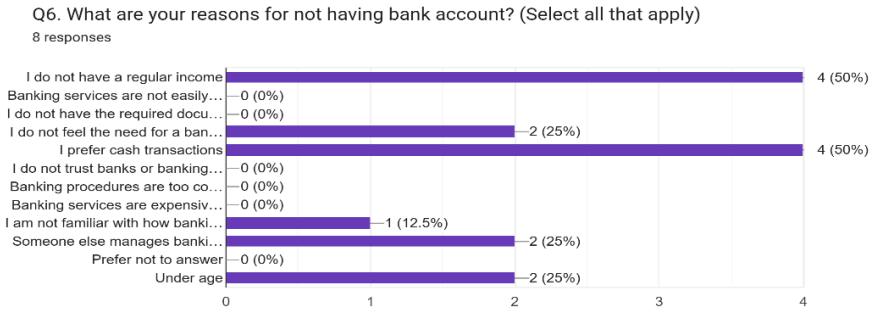
Overview

Out of the 111 respondents, most (103) already had a bank account, but a small group (8 respondents) still remained outside the banking inclusion.



Why are some people still not using banks?

On looking deeply, we discovered a few key reasons: some were underage, some were not familiar with how banking works, and others simply prefer doing cash transactions. Surprisingly, some mentioned not having a regular income.



Indication: This finding shows that some people, especially younger individuals, are still unaware of the banking services available to them, such as GoBOB (for the underage group).

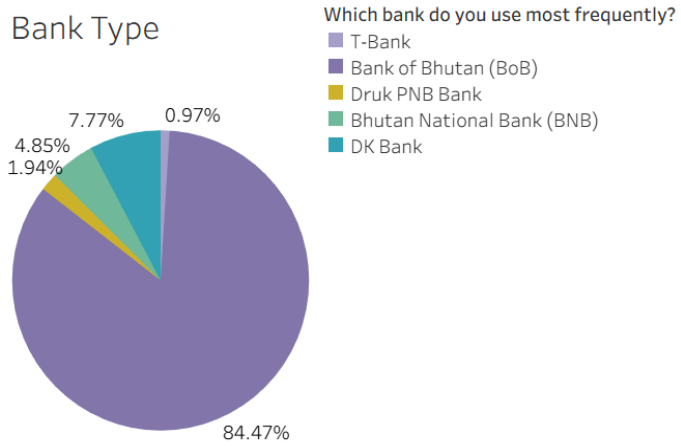
Do you have a bank account?	Age group	
No	18–25	25.00%
	36–45	12.50%
	46–55	12.50%
	56 and above	12.50%
	Below 18	37.50%

This insight shows a gap in how most of us think, that most youth would know about these services. It highlights a concerning issue: financial education and awareness are still not effectively reached by every person.

Suggestion for banks: To conduct financial literacy campaigns and services awareness programs to encourage people of different age groups to save and manage money through banking.

Customer Banking choices

Out of the 108 respondents who already have a bank account, I wanted to understand one key thing: which bank do people actually prefer in common and the reason for it.



Based on the data, the majority of respondents (84.47%) chose the Bank of Bhutan (BOB) as their most frequently used bank.

Indication: It shows a strong preference toward one bank over the other; BOB is the most commonly preferred bank among the six commercial banks in Bhutan. The six banks are Bank of Bhutan (BOB), Bhutan Development Bank (BDBL), Bhutan National Bank (BNBL), DK Bank, Druk PNB Bank, and T-Bank (NLCS, n.d.).

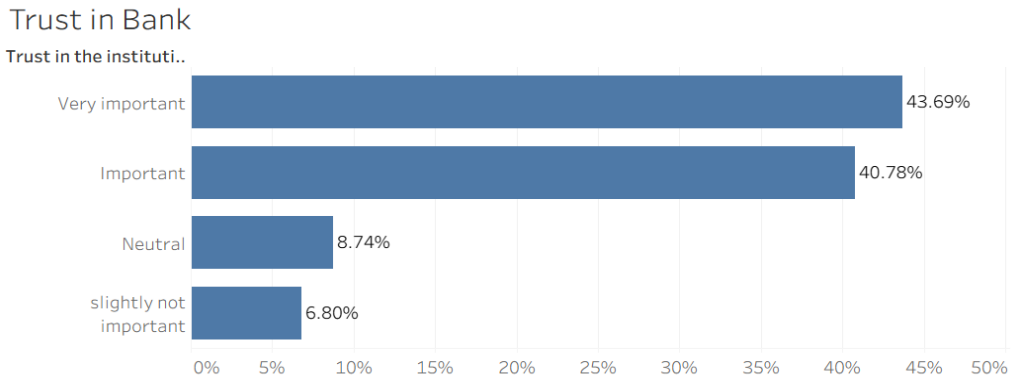
Suggestions: This finding suggests a competitive advantage for BOB and a growth opportunity for other banks to rethink their strategies and better meet customer expectations.

Seeing the majority choice, I decided to explore the improvement suggestion from respondents belonging to the BOB account users.

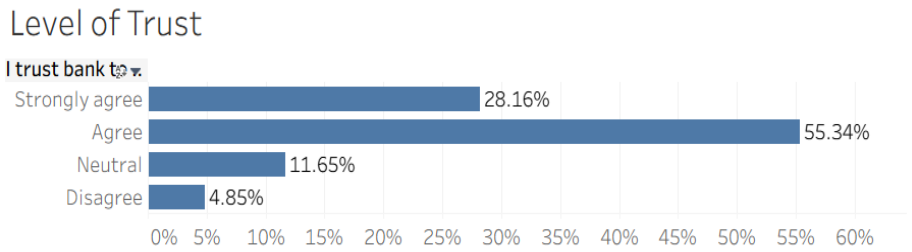
Factor Trust

When exploring the role of trust, it became clear that trust is a key driver behind people's banking choices. The aim here is to understand not just whether trust matters, but how much it really influences decisions, and the results were quite revealing.

A large number of respondents (43.69 %) said that trust is very important when choosing a bank. While only a few felt it was not as important, possibly because they consider other factors, such as service quality and accessibility, instead.



It is found that among them, 28.16 % strongly agreed that they trust their bank to handle their money safely, and 55.34 % agreed.



Indication: These findings show that more than 80 % of the respondents are satisfied with the current level of trust provided by their bank. However, interestingly, there are a few disagreements (4.85 %), indicating some of them still have trust issues with the bank. This number may seem minor, but it actually underlines a crucial gap.

These trust issues could be linked to:

- Concerns about digital or cyber security
- Fear of fraud or system failures
- Lack of clear communication from banks

So, it reflects that trust is not only about keeping money safe, but also about making customers feel secure and informed.

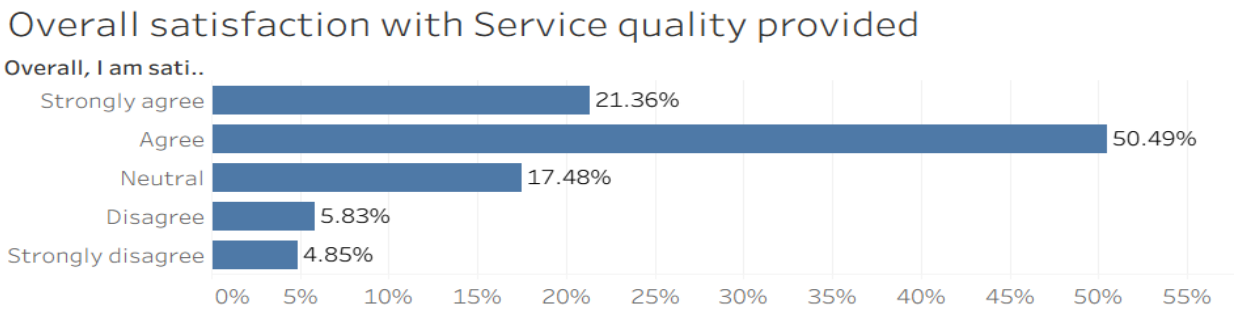
Suggestion: One solution is to strengthen trust among customers. For that bank can take simple but influential steps:

- Increasing awareness about security features and fraud protection
- Clearly conveying to people how banks/they protect customer data and money

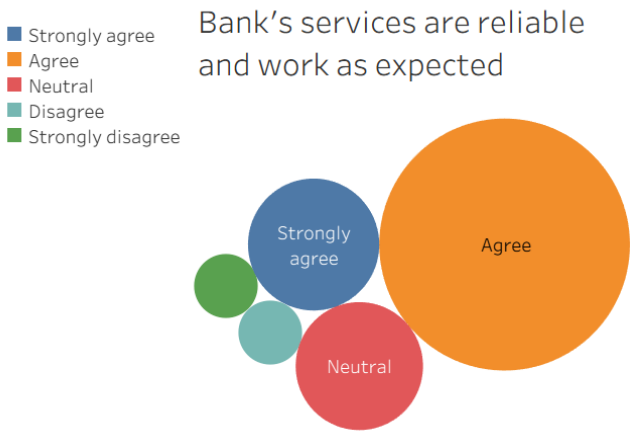
Implementing this solution helps people understand the banking systems and features, and banks can turn even small doubts into strong confidence and reliability in the customer's mind. This will add value to long-term customer loyalty and retaining customers.

Factor Service Quality

On exploring service quality, the main goal is to understand whether banks are truly meeting customer expectations, and the results were quite encouraging.



More than 70 % of respondents said they are satisfied with the overall quality of services provided by their bank, with 50.49 % agreeing and 21.36 % strongly agreeing. This shows most customers are generally happy with the services they receive. While approximately 10 % of respondents showed a negative reaction to the statement, with disagreement.



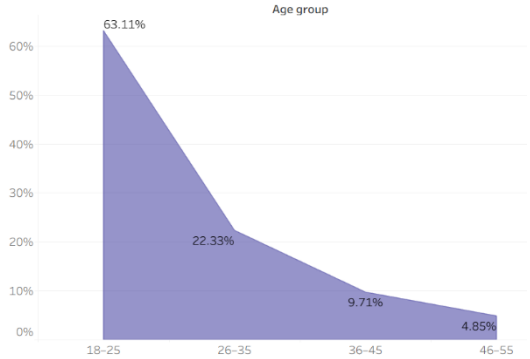
For the reliability of services, the majority (60.19 %) of the respondents agreed that banking services are reliable. Overall, more than 75 % of the respondents had a positive view.

Indication: At first glance, this suggests that banks are performing well in terms of service quality and reliability. But the small group of dissatisfied stood out amazingly.

Around 7 % to 10 % of respondents expressed negative experiences. While this may seem minor, it highlights gaps in service that still need attention.

Indication: This made us realize something important: even when most customers are satisfied, a small gap can signal areas where a bank risks losing customers.

To support this, let's explore age group of respondents. Since most of them fall between 18 to 35 years, they are highly active users of digital banking services. This indicates that today's users are not just satisfied with basic services; they are looking for:



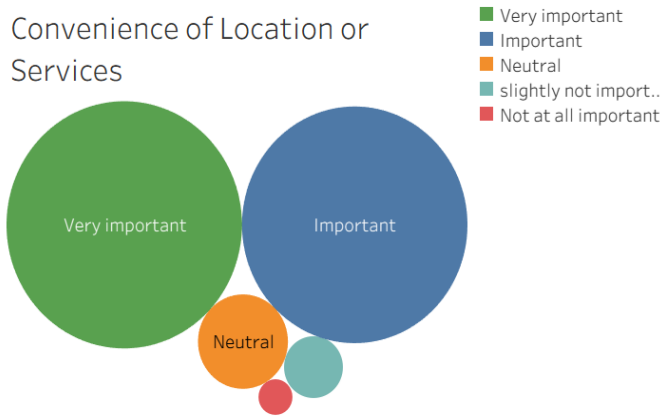
- Faster and smoother digital experiences
- Better mobile banking features
- More convenient and efficient online transactions

Suggestion: Based on these insights, there are clear opportunities for banks to improve and stand out in the market:

- Improvement in digital banking services
- Focus on speed and reliability
- Use of customer feedback for continuous improvement

Factor Accessibility

The aim of exploring accessibility is to understand how convenient it is for people to actually access banking services in their daily lives, especially when it comes to ATMs and bank branches. One thing became clear: that convenience matters a lot.



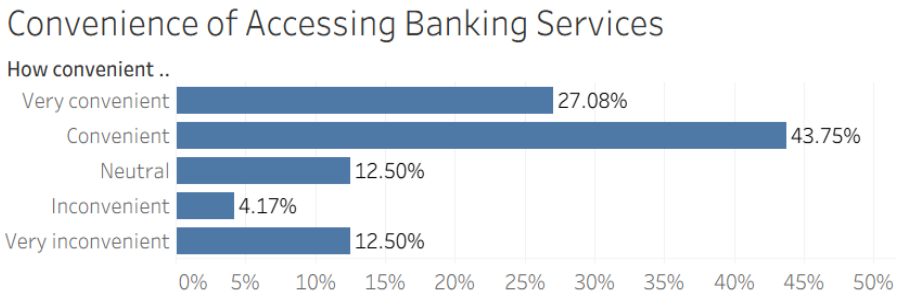
Around 46.60 % of respondents said that the convenience of location or services is very important when choosing a bank. This shows that accessibility is not just a supporting factor; it can strongly influence customer decisions

Among them, many said the current availability of services (ATMs and branches) is very good, while a few are still not satisfied.

Availability of ATMs and Branches

Availability of ATMs	Availability of branches: Very good	Good	Neutral	Poor
Very good	83.33%	16.67%		
Good	20.00%	65.00%	15.00%	
Neutral	18.18%	54.55%	18.18%	9.09%
Poor			50.00%	50.00%
Very poor		33.33%	33.33%	33.33%

Most respondents shared that banking services are generally convenient and accessible. However, a noticeable group expressed the opposite: that accessing these services is still difficult.



Indication: On looking deeper, these issues seem to depend heavily on location and usage patterns. As per some of the respondents' feedback, some people in urban finds it difficult to easily access ATM services due to a larger number of users and limited ATM. While people in some rural places have to travel to another place to access ATM and in-branch services, making them inconvenient to access.

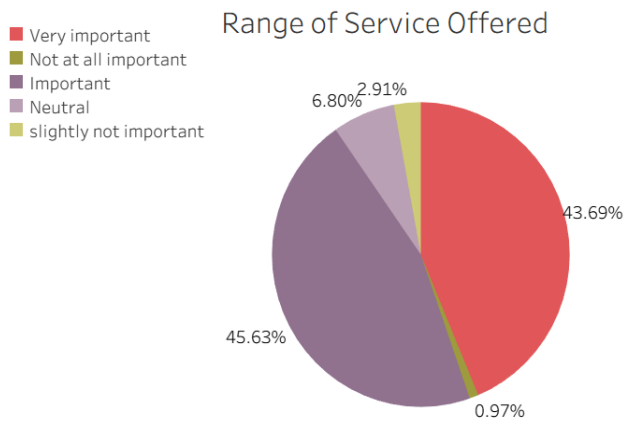
Suggestion: It is clear that the accessibility challenges are not the same for everyone; they vary based on where people live. This insight shows an interesting opportunity for banks. Banks can turn this challenge into a good opportunity by improving access in both urban and rural areas:

- Expand ATM networks, especially in underserved gewogs.
- Reduce congestion in urban areas by increasing the number of ATMs or introducing smarter queue systems.

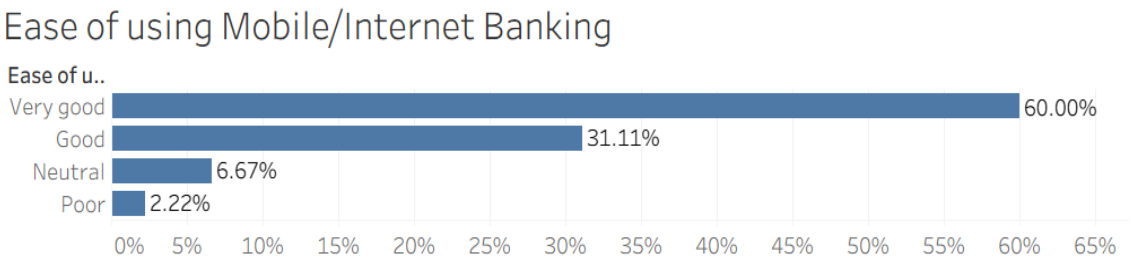
By improving accessibility, banks can not only enhance customer convenience but also capture the unreached market and strengthen their overall customer base.

Factor Ease of use

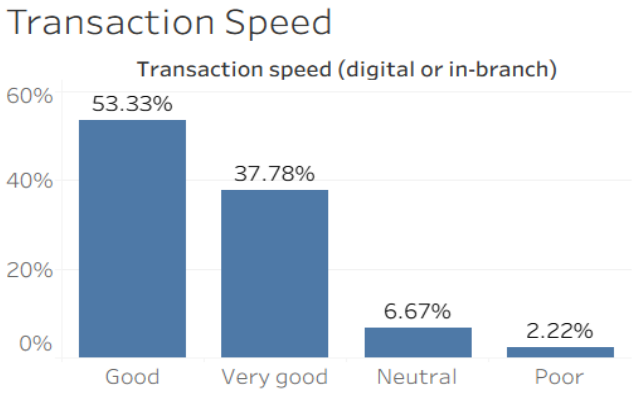
Ease of use of services is one of the factors affecting customer banking choices. Here, we wanted to understand how simple and easy banking services feel from the customer's point of view, especially in terms of service variety, digital usability, and transaction speed.



One strong insight stood out: people value flexibility and simplicity. More than 80 % of respondents said that having a wide range of services is important for ease of use, with 43.69 % rating it as *very important*. This shows that customers expect banks to offer multiple options that fit their needs.



When it comes to digital banking, among them, around 60.00 % rated mobile or internet banking as very good. Only a small number reported poor experiences.



Transaction speed also received mostly positive feedback, with many users saying it is good or very good, although a few expressed dissatisfactions.

Indication: At the very glance, this suggests that banks are performing well in terms of usability. But the attention-catching thing is this small number of ‘poop’ responses pointing to a deeper issue: network limitations. Availing internet or mobile banking from some places that experience slow or unstable internet might be difficult, and customers may encounter frequent errors in transactions. This tells that ease of use is not just about design; it also depends on external factors like connectivity.

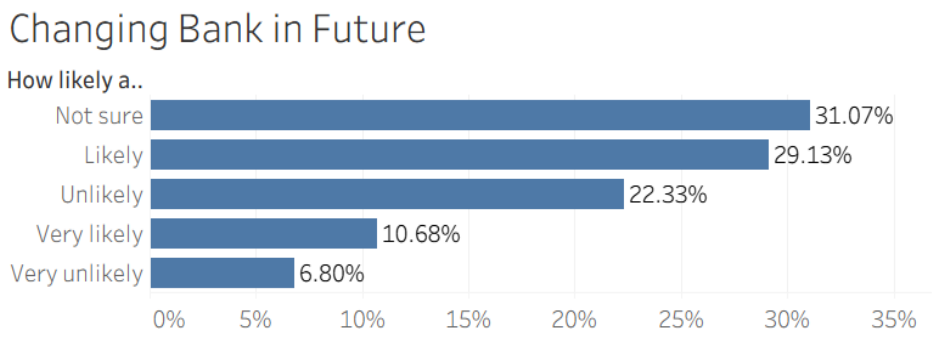
Suggestion: This challenge opens up practical opportunities for banks:

- **Strengthen physical service options:** providing reliable in-branch and ATM services in areas with weak network connectivity.
- **Promote offline banking solutions**: educating customers about alternatives like USSD and SMS-based services (for example, offline transaction options such as *262# for BOB), which can work even with low network.
- **Properly educate customers** on the general unused banking services (especially internet banking services and mobile banking features) to make people know their existence, understand the processes, and make the banking experience simple, easy, and accessible.

By addressing these issues, banks can make their services truly accessible and easy to use for all customers.

Future Insight

Finally, we wanted to understand something very important: are customers willing to stay with their current bank, or are they thinking of switching in the future? The responses revealed an interesting and slightly uncertain picture.



A large number of respondents selected 'not sure' when asked about switching banks in future. At the same time, 29 % said they are not interested in switching, and nearly 40% showed high interest in changing their banks.

Indication: This shows that while some customers are satisfied and loyal, a significant portion is either unsure or actively considering other options.

This is a critical insight: a bigger opportunity for some banks and for me to find some customer solutions.

Many customers seem to be staying not because they are fully satisfied, but possibly because:

- Switching feels inconvenient
- They are unsure about better alternatives
- Their current needs are only partially met

A large group of customers is still searching for better options in terms of: service quality, accessibility, ease of use and trust and reliability.

Suggestions: This situation creates a powerful opportunity for banks:

- **Strengthen customer relationships:** engaging regularly with customers and understanding their evolving needs.
- **Improve overall service experience:** focusing on fixing pain points across service quality, accessibility, and usability.

- **Create switching incentives:** attracting potential customers from competitors through better offers, added benefits, and a constant reminder of it.
- **Build long-term loyalty programs:** reward existing customers to reduce the likelihood of switching.

These are some of the solutions that, upon implementation, can bring banks huge potential benefits and have the very high power to turn those ‘not sure’ customers into loyal ones and even attract those who are actively looking to switch.

Discussion and Solution

After analysing the insights from this study, I identified a clear gap: Customers lack awareness, guidance, and clarity when it comes to banking services. This gap is not just a problem, but a strong opportunity to create value.

1. Banking Assistance through Web Development

One of the biggest issues we observed is that many customers are still unaware of the full range of banking services and how to use them effectively.

This led me to an idea: what of customers had a simple platform to guide them?

So, I planned to develop a website that acts as a banking assistant.

This platform will:

- Help users compare different banks based on their needs
- Provide simple explanations of banking services
- Guide users in choosing the most suitable bank
- Educate users on how to use digital and offline banking features

This development will definitely help bridge the gap between banks and customers. It also creates an opportunity for me to serve Tsa-Wa-Sum by helping improve financial literacy, increase customer confidence, and support better decision-making for banking customers.

2. Suggestion proposal to Bank of Bhutan (BOB)

From my findings, one result was very clear: most respondents prefer the Bank of Bhutan (BOB). This creates a strong opportunity for me to work directly with the bank.

Based on customer feedback and identified gaps, I palnned preparing a formal suggestion letter or proposal for BOB, focusing on:

- Improving internet services in terms of international fund transfer.
- Implementing new budgeting features in mBOB

Conclusion

In conclusion, this paper focused to understand hoe people in Bhutan choose their banks and what truly influences their decisions. Through this exploration, it became clear that factors such as trust, service quality, accessibility, and ease of use play a major role in shaping customer preferences. One key takeaway is that a significant number of customers are still uncertain or willing to switch, which highlights existing gaps in current banking services. These gaps, such as a lack of awareness, accessibility issues, and digital limitations, create opportunities for improvement and innovation. So, this study moves beyond analysis to action. Solutions like a banking assistance website and a proposal to Bank of Bhutan aim to address real customer issue/needs and improve overall banking experiences.

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